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Credit risk relocated, not removed: Newton's cradle transmitting risk across BBB, HY, and private credit

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In Summary

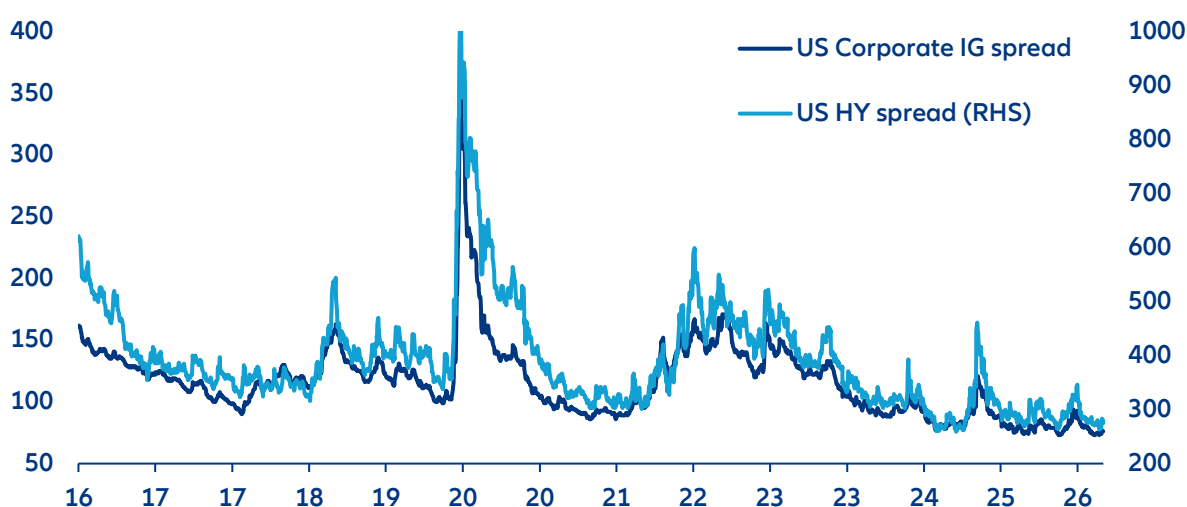
- **US credit looks calm on the surface – spreads tight, headline growth cheerful – but the risk has simply migrated.** Investment grade (IG), high yield (HY) and private credit are one continuous risk-transfer chain and at every link price has decoupled from fundamentals through a different mechanism: spread compression in IG, weakest links bypassing public HY and net asset value (NAV) smoothing in private credit.
- **Softened IG fundamentals and fallen-angel risk expose up to 1/3 of spread.** US IG spreads sit at ~75bps – tighter than their pre-Iran-war level – even as credit quality has softened (interest coverage ~6.3x, net leverage ~2.7x), held tight by price-insensitive all-in-yield demand rather than by fundamentals. The specific danger sits at the bottom of IG: a fallen-angel downgrade forces index-constrained holders to sell into a smaller, less liquid HY market, producing spread moves that far exceed the change in credit quality. In stress case like 2020, downgrades eroded 25bps of excess return, which would be equivalent to ~1/3 of current spread. The net upgrade rate has run below zero for roughly three years and actual fallen angels are ticking up, with historically tight spreads leaving no cushion to absorb the loss.
- **HY offers a more defensive risk/reward profile than BBB – but largely due to a composition effect, as the weakest names have migrated out to private credit.** HY leverage (~3.8x) and coverage (~2.8x) have held firmer than a deteriorating BBB, helped by shorter duration (3yr vs 7yr for IG) and a cleaner index (BB now >50%, CCC near a 20-year low). But much of that strength is a composition effect: the weakest borrowers have migrated out to leveraged loans and private credit. The risk was not removed – it was relocated.
- **The same decoupling runs quietly underneath private credit, via NAV smoothing.** The migrated borrowers are structurally weaker (leverage 5–7x, coverage 1–2x), and because positions are appraisal-valued, NAVs stay smooth while coverage erodes. Stress therefore surfaces not in price but in the plumbing: Payment-In-Kind has roughly doubled to 8.9% of interest income from a 4.3% trough in early 2023, and lender takeovers reached USD39.4bn across 2025–26 – about three times the prior three years combined, though still low single digits against a ~USD1.75trn book. The fallen-angel analog here is a gate or restructuring, not a downgrade – lumpy and deferred – concentrated in software/AI-exposed names (~25% of portfolios) and the 2021–23 vintage.
- **For investors, carry rewards holding but requires selectivity as vulnerabilities concentrate in the lower-rated buckets – BBB in IG, CCC in HY, and the 2021–23 private-credit vintage.** All-in USD IG yields near 5.2% can largely offset a 30–50bps spread widening, while the pure excess return offers only a thin cushion for 10bps widening – basically at the mercy of normal volatility.
- **Above all, in a stress event the risk that left public HY can return to it.** Crowded private-credit positions are hard to exit quickly, so when investors need to de-risk they sell the most liquid instrument first – public HY – regardless of its own fundamentals. Public HY therefore becomes the involuntary shock absorber, and its spreads widen as a liquidity and basis effect rather than a credit-quality one.

The decoupling of fundamentals and price

US corporate credit has shown extraordinary resilience in 2026, but there is an uncomfortable truth lying beneath the calm surface. Spreads of non-financial corporates currently sit at 73bps – 12bps tighter than their pre-war level. Even at the height of wartime fears, the widening was strikingly contained, peaking at just 92bps, only 12bps above where the year began (Figure 1). Yet strong Q1 earnings have not translated into stronger credit quality. Revenue growth in the credit universe is not as strong as in equity because of sector compositions – lower tech exposure but higher utility exposure in credit than equity (Figure 2). And at the balance-sheet level, EBITDA growth has not delivered the lower leverage or higher interest coverage that ultimately determine an issuer's capacity to service its debt – coverage gauges how easily earnings cover interest payments (higher is safer), and leverage measures debt relative to earnings (lower is safer).

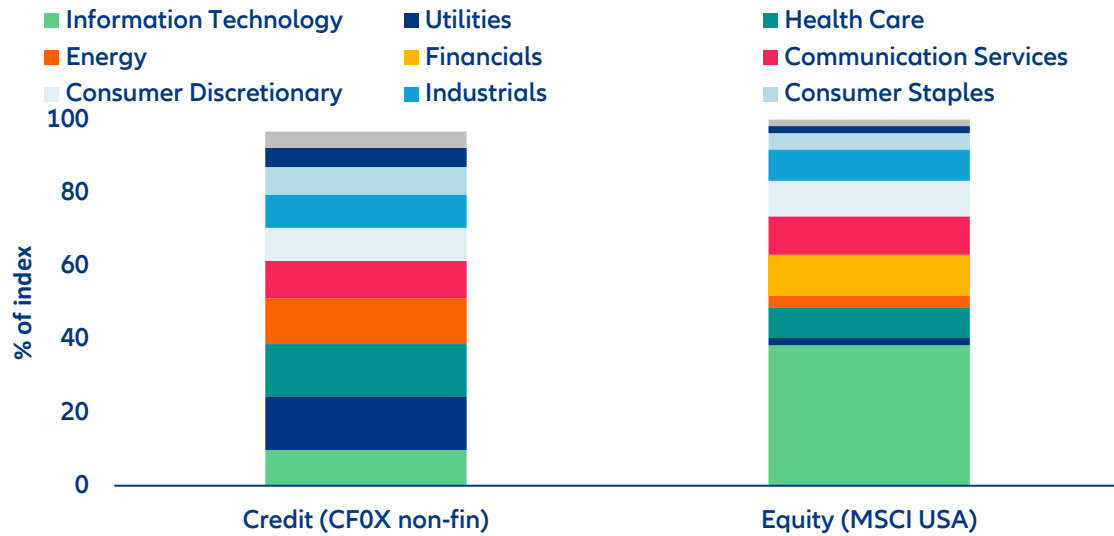
The operative transmission mechanism between revenue growth and debt-service capacity runs through interest coverage (EBITDA/net interest expense), not EBITDA in isolation. Since the US Federal Reserve started its tightening cycle in early 2022, the cost of refinancing legacy fixed-rate debt has risen sharply, and the progressive rolling of maturities into prevailing coupon levels has placed sustained upward pressure on gross interest expense. As a consequence, median EBITDA interest coverage for US investment-grade corporates fell to roughly 6.3× by Q2 2024 and has hovered around that level ever since (Figure 3). Taken in isolation the decline looks benign – coverage stood at 6.6× in Q4 2019, the pre-Covid benchmark – but the comparison is precisely the point: In late 2019, with the Fed funds target at 1.75% and coverage essentially where it sits today, IG spreads traded around 110bps, fully 40bps wider than the current 73bps. Investors are therefore accepting less compensation for a broadly comparable level of fundamental credit quality. Meanwhile, net leverage – net debt/EBITDA – has risen modestly but steadily across the IG universe – from roughly 2.5× net debt/EBITDA in 2022 to about 2.7× today – reflecting a cautious re-leveraging that EBITDA growth has only partly offset.

Figure 1: US Credit spreads at a historical low



Sources: LSEG Datastream, Allianz Research

Figure 2: Credit has lower tech exposure but higher energy and utilities exposure compared to equity



Sources: Bloomberg, Allianz Research

Figure 3: US IG interest coverage ratios

Trimmed mean (bottom/top 10%), EBIT / Interest expense, x

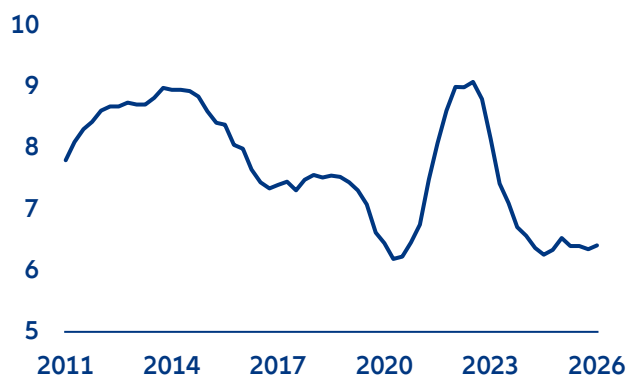


Figure 4: US IG credit net leverage ratios

Trimmed mean (bottom/top 10%), Net debt / EBITDA, x



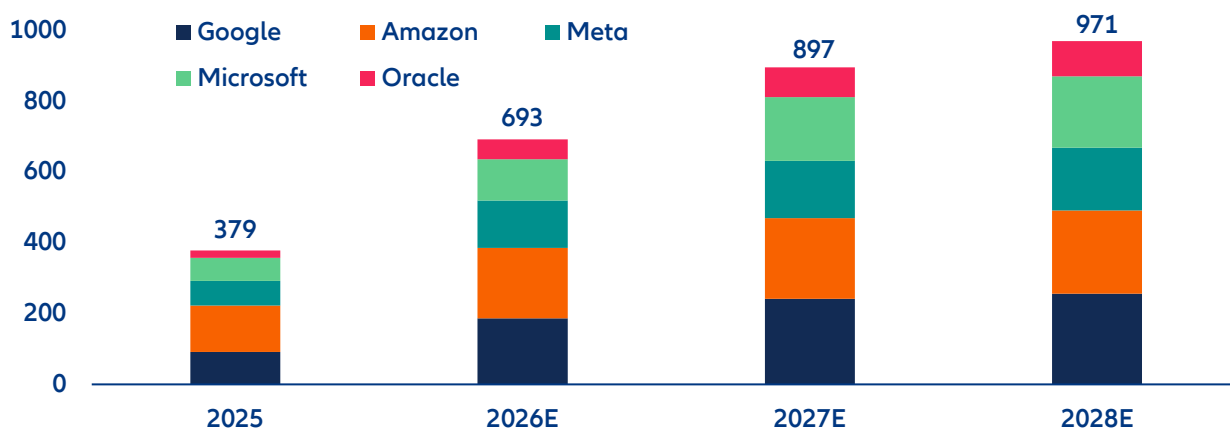
Sources: Bloomberg, Allianz Research.

The explanation for this divergence lies in the structure of demand for investment-grade credit rather than in any fundamental reappraisal of issuer creditworthiness. Positive technicals – strong demand and limited net supply – have dominated spread compression since 2023. The reset to higher all-in yields has drawn a steady, price-insensitive bid into IG credit from yield buyers such as insurers, pension funds and sovereign wealth vehicles. At the same time, heavy gross issuance has been absorbed by a large maturity and redemption calendar, leaving net supply contained. Together, this demand-supply imbalance has provided a consistent bid that has compressed the risk premium well below what fundamentals alone would justify.

Looking ahead, EBITDA growth is the key to credit metrics. The Fed shows little sign of easing soon so interest-expense pressure is unlikely to fade. Higher rates have not yet fully fed through and as legacy debt refinances at today's coupons, gross interest expense can hardly drop. We expect leverage to drift modestly higher even as spreads trade at their most compressed levels, driven by AI-related capital expenditure, the M&A cycle boom and a more hawkish Fed, which pulls borrowing forward as corporates term out debt to lock in funding before rates climb further. Provided EBITDA growth continues to offset the rising interest burden – our base case – these

pressures will remain manageable. However, slower growth and growing debt loads coinciding would mean a gradual deterioration in credit metrics.

Figure 5: Expected hyperscaler capex



Sources: Bloomberg, Allianz Research

The credit fundamentals have softened only moderately and would not yet be a problem. The real risk lies in the mismatch between pricing and fundamentals and that gap rests on technical support rather than on any genuine strengthening of credit quality. Those technicals are less durable – net supply looks set to rise as AI-related capital expenditure and hyperscaler issuance accelerate, while the yield-driven inflows are price-sensitive at the margin and could reverse quickly if the rate outlook shifts. Beyond valuation risk, the downgrade risk triggered by fundamental deterioration should also not be overlooked by credit investors.

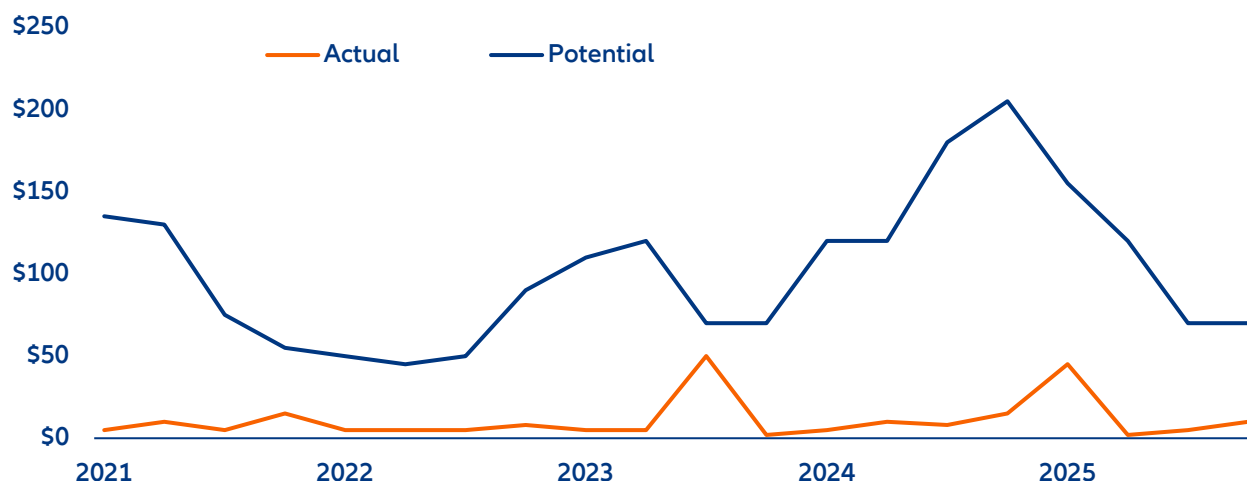
The fallen angel risk

Beneath the moderate deterioration in aggregate credit metrics, downgrade risk is building quietly at the individual-issuer level – and it is concentrated at the bottom of the investment-grade ladder, in the BBB segment, where so-called ‘fallen angels’ are born. A fallen angel is an issuer downgraded from investment grade into high yield and its market impact is determined not solely by the change in credit quality but by the mechanical consequences of index reallocation. When a BBB issuer is downgraded below investment grade, the following sequence is triggered:

- 1) Investment-grade-constrained mandates, esp. ETFs and index-oriented mandates, are required or at least strongly incentivized by tracking error to reduce exposure to the downgraded securities, often within a contractually specified window. This creates a supply of forced sellers with no price sensitivity on the downside.
- 2) The high-yield market, which operates with a smaller asset base and lower marginal liquidity than the IG market, is required to absorb an issuer whose notional size typically exceeds the capacity of the natural HY buyer base to digest in an orderly manner. The supply shock produces spread-widening in the receiving market that exceeds fundamental repricing.
- 3) Once fallen angels begin to outpace rising stars, the cumulative forced selling erodes the carry that anchors investment-grade portfolios and interrupts the hold-to-maturity logic underpinning much of the IG bid – a shift capable of turning the broader spread cycle.

This mechanism makes the spread adjustment far exceed the underlying change in credit quality – which is precisely why fallen-angel risk has become a leading source of idiosyncratic loss and a persistent alpha challenge for investment-grade-mandated asset managers. The effect is material in severe downgrade periods like in 2020: Losses from downgrades eroded 25bps from the expected excess return. BBB-rated debt constitutes approximately 45% of the investment-grade universe by notional value. This concentration magnifies the systemic impact of any BBB deterioration, making the segment worth watching now.

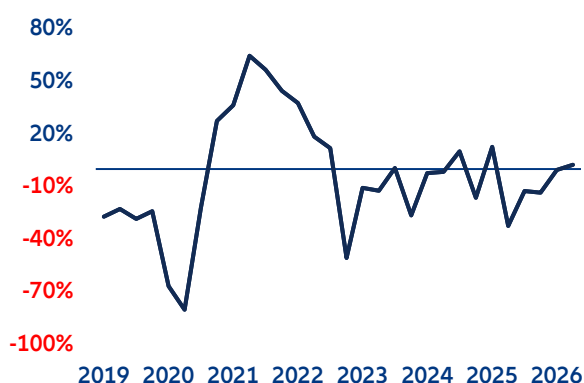
Figure 6: US fallen-angel debt: actual vs potential (USD bn, quarterly)



Sources: Bloomberg, Allianz Research

The fallen-angel wave peaked in the first and second quarters of 2025 so the pool of potential candidates and debt has been shrinking (Figure 6). The downgrade trend has slowed but not turned yet: The net upgrade rate for US IG non-financial issuers has run below zero for roughly three years (Figure 7) and as that pressure persists, actual fallen angels have been ticking up recently. Moody's counted six in the first quarter of 2026, up from three last quarter. Investors should therefore not overlook fallen-angel risk, particularly when historically tight spreads leave no cushion to absorb the losses a downgrade brings. Once slower EBITDA growth meets a higher interest burden, the pool of issuers sitting close to the cut-off will grow sharply.

Figure 7: US IG non-financial issuers rating drift (net upgrade rate)



Sources: Bloomberg, Allianz Research. *Net upgrade rate = (Upgrade# – Downgrade#) / Total rating actions

High Yield: The counterintuitive bright spot

When the economy slows, High Yield (HY) is usually the first cause for concern, with lower ratings and higher default probability. But that instinct is misleading in this cycle. US HY actually offers a more defensive risk/reward profile, especially when compared with the BBB segment. As shown in Figure 8&9 below, the trajectory of HY fundamentals has held more firmly than BBB's over the last decade. Figure 8 captures the divergence in leverage:

After spiking through the 2020 pandemic peak, HY net leverage fell sharply from 4.2x to 3.6x and has since re-leveraged only modestly to 3.8x as of last quarter. Meanwhile, BBB leverage has ground steadily higher, increasing from 2.75x in 2021 to 3.1x in Q1 2026. The interest coverage trajectory tells a similar story – both peaked in 2022 as rates climbed, but HY coverage has broadly stabilized at 2.8x since 2024 while BBB coverage has continued to slide.

The reason might be structural. HY issuers are smaller firms with weaker fundamentals, so they deleveraged heavily through the pandemic and cautiously re-leveraged thereafter due to high interest rate environment. The cautious capital expense and limited financing access has therefore left HY credit metrics in a relatively good shape.

Shorter maturities reinforce the case. The duration of the HY universe is 3 years, much shorter than IG paper (seven years). Shorter duration means less price sensitivity so for any given move in spreads, their prices fall by less. Shorter maturities also improve visibility: the nearer the repayment date, the easier it is to judge whether an issuer can refinance or repay, leaving less time for fundamentals to deteriorate before the bond comes due. Together, these features cushion HY against the sharper spread swings that today's rate environment can produce.

Figure 8: US high yield net leverage vs BBB

Trimmed Mean (Bottom/Top 10%), Net Debt to EBITDA

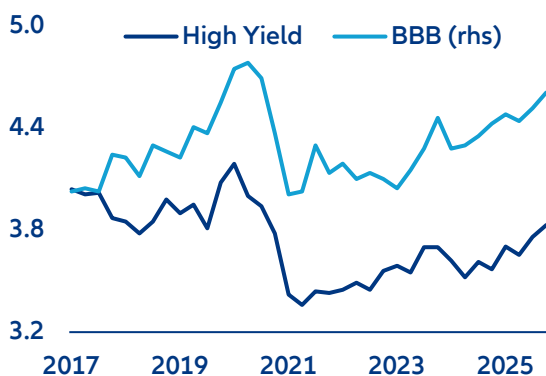
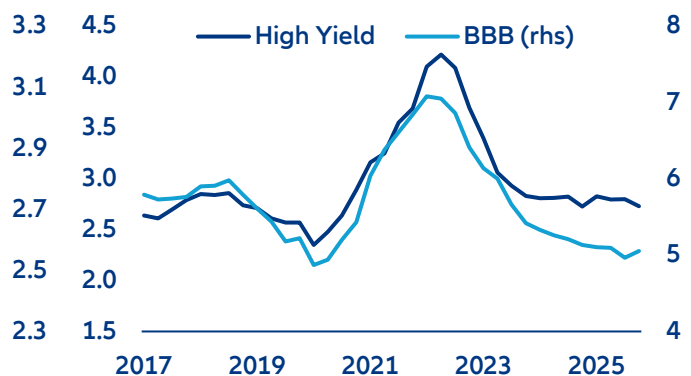


Figure 9: US high yield interest coverage vs BBB

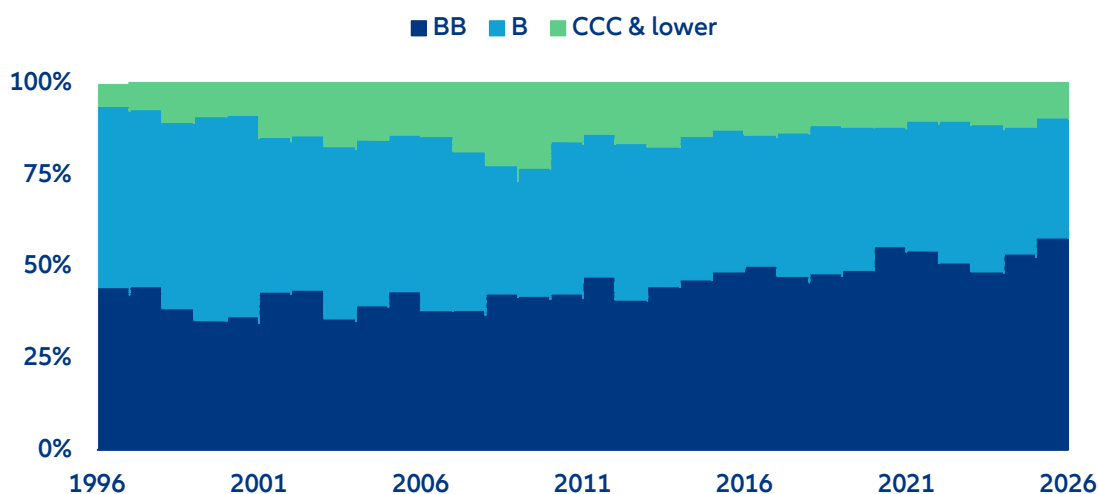
Trimmed Mean (Bottom/Top 10%), EBITDA / Interest expense



Sources: Bloomberg, Allianz Research

Part of the improvement is also a composition effect: The public HY index has become a cleaner, higher-quality universe because the weakest marginal borrowers are increasingly migrating to other alternatives. BB-rated issuers are over 50% of the US HY market versus a single-B majority in 2000, and the CCC-and-below cohort has shrunk to roughly 10%, near a 20-year low. This mix is a result of a two-direction migration. With the rates shock in 2022, net HY issuance turned negative and clearly skewed toward higher-rated BB names. At the lower end, weaker, more levered borrowers have limited market access, especially under the higher-interest-rate environment. And they have largely migrated into leveraged loans and private credit. With both ends removed, what remains is a narrower middle, structurally less representative of below IG risk. Public HY sees the benefit of a higher-quality index mix, while other leveraged lending areas inherit the counterpart smaller, more levered, less liquid borrowers dependent on sponsor support. That said, invest should also remain risk-aware: High yield is still highly sensitive to macro shocks and industry disruption, which have historically triggered most credit losses. Three things are worth watching: whether economic growth and interest rates stay resilient, how AI disruption affects individual businesses and whether investor demand for high yield holds up – above all, appetite for newly issued bonds – given that today's tight spreads are held down by strong demand rather than by genuinely stronger fundamentals.

Figure 10: US high yield index has become a higher-quality universe, BB represent over 50% of the index.



Sources: Bloomberg, Allianz Research

The borrowers leaving public high yield do not move straight into private credit. Leveraged loans are the intermediary step, which both links the two markets and keeps some distance between them. That link still matters for liquid investors: many have added private credit allocations they cannot readily exit, so an eventual credit cycle can transmit stress back into liquid markets and high yield – the liquid sleeves that, at reduced allocations, would need to give way first to keep the overall portfolio within its risk limits. For that reason, a close read of private-credit dynamics matters even for investors who hold none directly.

Private credit: Where the credit went

The issuer migration narrative carries an immediate corollary: if public HY has been cleansed of its weakest borrowers, those borrowers did not disappear, they relocated. That market is, in part, private credit; now a USD1.75trn direct lending market with a further USD315bn of institutional dry powder. The analytical frameworks that apply to public IG and HY translate there only imperfectly, and sometimes not at all.

The first translation difficulty concerns the assumption of size separation. Private credit was built around a structural gap of companies too small or too idiosyncratic to access public syndicated markets, where minimum deal size, rating requirements and investor base breadth create a de facto floor. The data still broadly reflects this origin. The median private credit borrower carries EBITDA of USD30–50mn, roughly ten times smaller than the median HY bond issuer (USD568mn EBITDA) or leveraged loan borrower (USD522mn EBITDA). In that respect, the original logic holds: private credit occupies the space below IG and HY by borrower size, not by credit quality, and the analytical frameworks governing public credit markets apply to it at most by analogy.

But that clean separation has been eroding since 2022 and at the upper end of the market, it has broken down materially. The 2022 rates shock that froze the broadly syndicated market for leveraged buyout (LBO) financing for the better part of 18 months pushed large-cap sponsors into private credit as the only available execution route for transactions that, by borrower size, would previously have been routed to the BSL market. The result was the emergence of "jumbo" direct lending – bilateral or small-club transactions providing debt packages above USD1bn, a territory previously the exclusive preserve of syndicated finance. That shift has not fully unwound: By Q1 2026, private credit was financing approximately 80% of all LBO deals by count, and the average enterprise value of new third-party buyouts exceeded USD1bn.

The spread data confirms how far the competitive frontier has moved. Upper middle market unitranche deals (borrowers with EBITDA above USD100mn) now price at approximately 516bps, barely above where they stood at year-end 2024, reflecting the arbitrage compression that occurs when private lenders and a reopened BSL market compete directly for the same transactions. By contrast, sub-USD50mn EBITDA deals, the core historical private

credit market, price at 505–511bps with no equivalent convergence pressure, because the syndicated market has no structural interest in that size tier.

The analytical implication is that private credit today encompasses two distinct populations operating under the same label. The core middle market — the USD30–100mn EBITDA borrower for whom direct lending was designed, remains structurally separated from public markets by size. The upper middle market tier sits in active competition with public syndicated instruments and inherits the pricing and structural dynamics of both markets simultaneously. What unifies both populations, and what makes the translation from public credit frameworks genuinely difficult regardless of borrower size, is the absence of price discovery. In public credit, the gap between market pricing and underlying fundamentals is legible in basis points. In private credit, it accumulates underneath in amendment activity, Payment in Kind, maturity extensions and sponsor infusions, bilateral and outside any mechanism that forces recognition. The risk has changed venue. The question is whether the venue remains capable of containing what it has absorbed.

The credit quality underneath

The aggregate credit quality of private credit borrowers is structurally weaker than the public HY index that the migration narrative implicitly invites comparison with. Borrowers in direct lending portfolios carry leverage in the range of 5–7× and interest coverage of 1–2×, placing them broadly in line with low single-B to CCC public equivalents, not with the BB-heavy HY index that public market composition data now reflects. The comparison that the HY section draws, between public HY's 3.8× leverage and stable 2.8× coverage versus a deteriorating BBB universe, does not carry across to private credit, whose fundamental starting point is considerably more stretched.

Table 1: Leverage and interest coverage across private credit, leveraged loans, and high yield (Q1 2026)

Category	Subcategory	Debt/EBITDA			EBITDA/Interest Expense		
		Overall	Avg Across Sectors	Range Across Sectors	Overall	Avg Across Sectors	Range Across Sectors
Private Credit (as of Q1 2026)	Fitch	5.9x	5.7x	4.5x–7.1x	2.0x	2.1x	1.5x–2.7x
	S&P	7.0x	7.3x	6.1x–8.6x	1.8x	1.8x	1.4x–2.3x
	KBRA	4.7x	4.7x	4.3x–5.2x	2.3x	-	-
	Lincoln International	5.2x	5.2x	4.8x–5.8x	1.9x	-	-
MS Fundamental Dataset (Public Filers) Q1 2026	BSL BB	3.3x	3.4x	2.6x–4.3x	5.2x	5.1x	4.2x–5.6x
	BSL Single B	5.1x	5.3x	4.2x–8.9x	2.5x	2.8x	1.4x–4.1x
	BSL CCC	10.1x	-	-	1.1x	-	-
	HY BB	3.2x	3.3x	1.4x–4.9x	5.6x	6.1x	3.6x–9.9x
	HY Single B	4.1x	3.9x	2.2x–5.4x	3.6x	3.8x	2.6x–5.4x
	HY CCC	8.7x	-	-	1.2x	-	-
SP Publicly Rated Universe (Public + Private Reporters) Q4 2025	B+	4.3x	-	-	3.2x	-	-
	B Flat	5.4x	-	-	2.3x	-	-
	B-	7.2x	-	-	1.5x	-	-
	CCC+	10.4x	-	-	1.1x	-	-

Source: Fitch, S&P, KBRA, Lincoln International VOG, Bloomberg, FactSet, Morgan Stanley, Allianz Research.

Note: Fundamental data as of Q1 2026, except the data on public credit; the asset universe is “Morgan Stanley Fundamental Dataset”, thus the levels are not directly comparable to the credit metrics we talked above; “average (range) across sectors” refers to average (min and max) of the sector averages or medians. KBRA data for leverage and coverage are for new deals within the quarter.

The trajectory matters as much as the level. Outside the software sector, private credit leverage has been broadly stable and interest coverage has actually edged higher from its 2023 trough, reaching approximately 1.84× by early 2026, a genuine improvement from the 1.52× recorded at end-2023. The aggregate picture therefore echoes the HY story in one respect: cautious re-leveraging after the rate shock, with borrowers that could not refinance having

largely worked through or exited the system. The pool that remains is, on average, more resilient than 2021-vintage underwriting suggested it would be at this point in the rate cycle.

The concentrated vulnerability is sector-specific rather than broad, but with widening dispersion bears watching. Software and AI-exposed borrowers constitute roughly 25% of aggregate direct lending portfolios and their credit profile is materially weaker than the broader universe: median leverage in the software cohort sits at approximately 8.3x against 7.0x for all private credit sectors, with cash interest coverage of just 1.4x – the lowest of any major sector in the S&P private credit universe. These numbers were underwritten in a world of near-zero rates and peak growth multiples; the companies now carry that legacy debt into an environment where AI disruption threatens both their revenue visibility and their enterprise value, the latter being the primary lever through which sponsor support decisions are made.

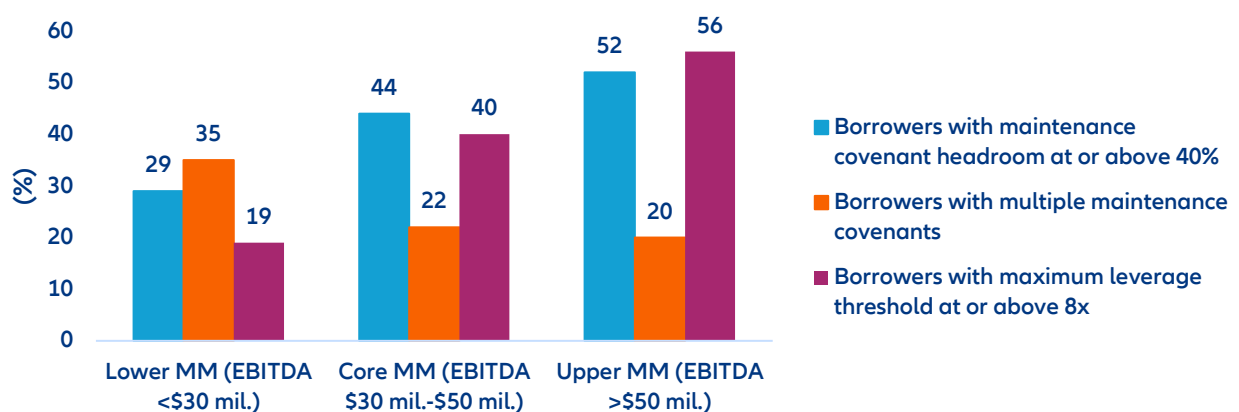
Structural mitigants: genuine but limited

The structural case for private credit has always rested on three pillars: tighter covenants, direct lender relationships and first-lien security. All three genuinely differentiate direct lending from broadly syndicated alternatives. The differentiation has proven real in the current cycle, but it is less uniform than the asset class's promotional narrative suggests.

Recovery rates illustrate the point. Structurally, direct lending's smaller lender groups, tighter documentation and out-of-court resolution pathways ought to support meaningfully higher recoveries than broadly syndicated loans, where covenant erosion over the past decade has degraded lender leverage in workouts. S&P data show nearly a 10pps recovery differential between covenanted and covenant-lite term loans in default. Yet implied recovery from BDC marks at default for 2025 placed direct lending recoveries at around 45 cents on the dollar (KBRA) – 8 points below the comparable BSL figure – dragged lower principally by the PIK-heavy, software-concentrated portfolios where the weakest underlying credits cluster. The forward-looking projection from Morgan Stanley – that recoveries should rise to 70–80% on direct lending defaults over the next 12-18 months, driven by out-of-court resolution and structural protections – is plausible, but rests on the assumption that the remaining stress is concentrated in assets where lender control remains meaningful. If AI-disruption defaults involve impaired enterprise values rather than cash-flow shortfalls, that structural leverage shrinks considerably.

Covenant quality, too, has been eroded in the upper-middle market segment specifically. An analysis of over 2,000 private credit agreements shows that more than a third of borrowers with maintenance covenants carry headroom exceeding 40% – not because they have deleveraged, but because covenants were set wide at origination to win mandates in a competitive deployment environment. This is the private credit equivalent of the loosening structural protections in public leveraged loans, concentrated in the USD500mn-plus deal segment where direct lenders competed most aggressively with the BSL market. The core middle market – broadly, borrowers with EBITDA below USD50mn – has retained tighter covenant terms and genuine lender control and it is this segment that institutional investors are now refocusing on as a consequence.

Figure 11: Loose maintenance covenants have permeated the private credit market



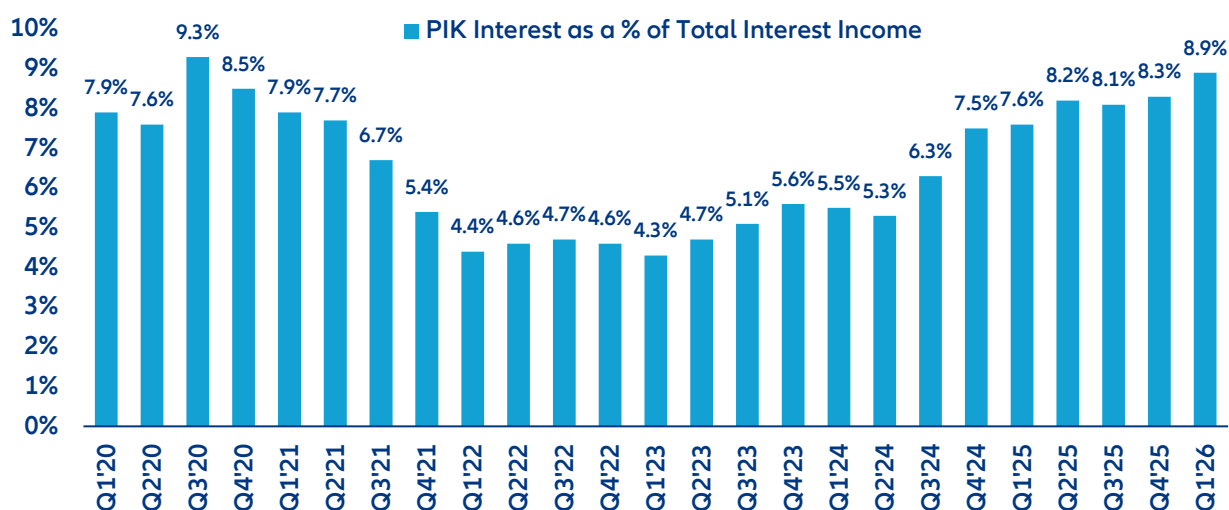
Source: "Loose Maintenance Covenants Permeate Private Credit," 2025 S&P Global Ratings.

The decoupling analog

Just as public spreads are compressing even as interest-coverage ratios fall, private credit runs the same decoupling through a quieter channel. Because positions are appraisal valued rather than marked to market, the price signal is smoothed: NAVs can hold broadly stable while underlying coverage erodes. The fundamental-deterioration signal therefore does not appear in price, it appears in the plumbing, and the plumbing now shows it clearly.

The absence of daily marks and index-driven forced selling, the features that made private credit's Q1 2025 experience so much calmer than public market equivalents, also define the principal risk that the asset class now carries. Stress in private credit accumulates and is resolved bilaterally, which means it remains invisible to aggregate market indicators until it cannot be managed that way. Payment-In-Kind (PIK) interest as a percentage of total interest income in the broader direct lending portfolio reached 8.9% in Q1 2026, up from 8.3% in Q4 2025 and a trough of 4.3% in Q1 2023 (Lincoln. See Figure 12), and roughly 20% of PIK loans are now marked below 90 cents, at or above post-Covid highs depending on the measurement basis. Lender take-overs, where lenders have moved to foreclose on equity and take operational control of borrowers, reached USD39.4bn across 2025 and 2026 combined, against just USD13.6bn over the preceding three years in total. Almost three-quarters of those transactions involved 2021 and 2022 vintage deals, precisely the cohort underwritten at peak leverage, peak valuation multiples and near-zero rates.

Figure 12: Private credit stress is surfacing in the plumbing — rising PIK use increases leverage



Source: Lincoln, Allianz Research. Note: Calculations are based on dollar amount of interest paid (not based on the number of investments that have a PIK component).

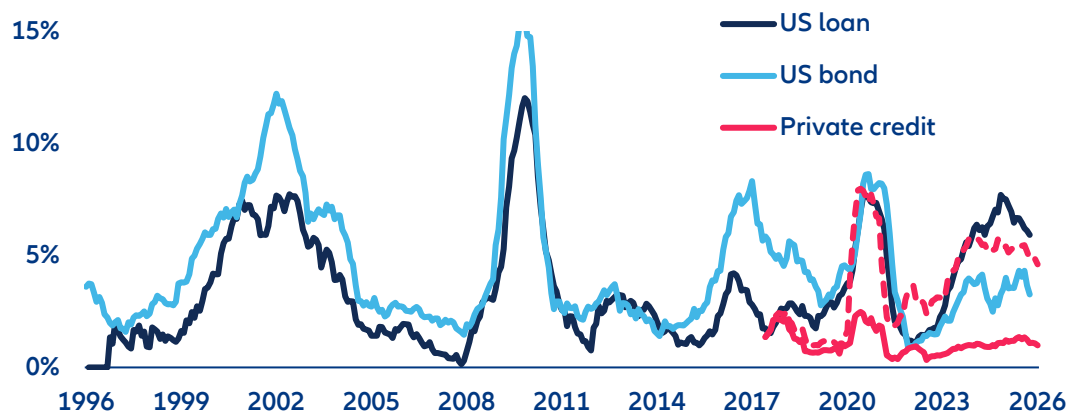
The decoupling between public market pricing and public credit fundamentals examined earlier rests in part on a composition effect: the weakest marginal credits have migrated out of the indices against which spread levels are benchmarked. That migration has genuinely improved the average quality of what remains in public markets. But it has not extinguished the underlying credit risk – it has deferred and concentrated it in an asset class that resolves stress through amendment and negotiation rather than market pricing, that carries limited liquidity for redemptions at scale and that has grown to a size where idiosyncratic failures can no longer be assumed to be individually contained.

The fallen angel analog

In private markets, the fallen-angel analog has a different trigger. There is no rating boundary to cross and no index to be ejected from. The repricing instead arrives as covenant amendment or restructuring. The asymmetry is sharper, not softer, and the default data now sizes it. S&P credit estimates reported a post pandemic 4.37% against leveraged loans of 3.3% in Q1 2026. The populations are not comparable, S&P portfolio skews to smaller issuers and methodologies differ, but the FSB frames the same point cleanly: outright private-credit defaults sit near 1%

but rise to roughly 5% once selective defaults and distressed exchanges are included¹. In public markets, a holder facing a downgrade can still sell into a continuous, if widening, market; the loss is realized quickly and observably. In private markets there is no such exit at the moment it is needed, the liquidity that would cushion the adjustment is exactly what is withdrawn. The downside is gated, lumpy and deferred until unavoidable, realized against a NAV that may itself prove optimistic.

Figure 13: Slowing growth, sticky inflation and software sector distress keep default risk elevated



Source: Private Credit S&P Global Ratings. Loans index Morningstar LSTA US Leveraged Loan Index. Note: Dotted line includes distressed debt exchanges as default events.

None of the above is a verdict on the asset class; it is a verdict on the average deal and the marginal manager. The upside relative to public credit is genuine and it rests on the one structural feature public bondholders lack: position and control. Direct lenders sit at the top of the capital structure – typically 95%+ senior secured with weighted-average loan-to-values below 50% – with real covenants, information rights and a seat at the workout table. This is why higher default frequency can coexist with lower realized loss: the lender can intervene early, restructure or convert before value leaks, compressing loss-given-default in a way a dispersed high-yield holder cannot. Loss-adjusted spread captures this advantage as readily as it exposes the laggards; it cuts both ways, and for disciplined origination it lands clearly positive.

What does this mean for investors?

Technicals have not merely supported fundamental pricing this cycle – they have displaced it. The same mismatch identified in public credit extends to private markets. Where public spreads compress against weakening coverage, private valuations stay smooth while coverage erodes beneath them; where the public repricing event is a downgrade, the private one is a gate, an amendment or a forced secondary sale below NAV. The asymmetry is not escaped by moving private – it is relocated and made less visible.

Three implications follow:

Total return is more resilient than excess return under current market conditions. The near-term technical bid – price-insensitive yield demand – remains in place and carry is meaningful. The distinction between total return and excess return is central: total return combines spread and base rate so all-in IG yields of around 5.2% represent a substantial income component, and a 30–50bps spread-widening could be largely offset by carry. Excess return isolates the spread and with US IG OAS at a historical low of roughly 75bps that component offers only a thin cushion.

The vulnerabilities are concentrated in the lower-rated buckets, not broad yet. Within investment grade, the BBB segment carries the fallen-angel risk, where forced index selling makes the spread move far exceed the change in

¹[FSB warns on private credit vulnerabilities - Financial Stability Board](#)

credit quality. Within high yield, the CCC-and-below cohort carries the genuine default risk as slower EBITDA growth meets a higher interest burden. Within private credit, the 2021–23 vintage is the analog – deals originated at the peak of competition on the loosest terms (covenant-lite, Payment in Kind) carry the deferred risk, in contrast to newer senior-secured primary lending at the other end of that spectrum.

Technically driven turns can be fast. Because pricing rests on technicals rather than fundamentals, the adjustment can be rapid – yield-driven inflows are price-sensitive at the margin and net supply is set to rise as AI-related and hyperscaler issuance accelerates. In that setting, liquidity and flexibility carry a premium and the publicly-priced leveraged-loan / BSL market serves as the liquid, transparent proxy for private-credit stress.

Above all, under market stress, the risk that left public HY could return to it. Crowded private-credit and HY-overweight positions cannot be exited quickly. So when investors need to de-risk, they tend to sell the most liquid public HY first, regardless of its own fundamentals, and its spreads widen. In that sense, the near-term risk in public HY is more a liquidity and basis effect than a credit-quality one. Spreads can move beyond what the improved composition would justify – simply because HY is the proxy being sold for positions that cannot be.

These assessments are, as always, subject to the disclaimer provided below.

FORWARD-LOOKING STATEMENTS

The statements contained herein may include prospects, statements of future expectations and other forward-looking statements that are based on management's current views and assumptions and involve known and unknown risks and uncertainties. Actual results, performance or events may differ materially from those expressed

or implied in such forward-looking statements.

Such deviations may arise due to, without limitation, (i) changes of the general economic conditions and competitive situation, particularly in the Allianz Group's core business and core markets, (ii) performance of financial markets (particularly market volatility, liquidity and credit events), (iii) frequency and severity of insured loss events, including from natural catastrophes, and the development of loss expenses, (iv) mortality and morbidity levels and trends,

(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,

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The company assumes no obligation to update any information or forward-looking statement contained herein, save for any information required to be disclosed by law.